INF70005 STRATEGIC PROJECT MANAGEMENT

INTRODUCTION TO STRATEGIC PM

CONTENTS

- On the course …
- Defining Projects and Project Management
- Brief history & state of profession
- Why do project succeed and fail!

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Unit Learning Outcomes

- Critically evaluate project management principles, practices, methodologies, tools and techniques and align these to the strategic objectives of organisations
- Demonstrate theoretical understanding of organisational strategy and the principles of competitive advantage and align these to project management
- Critically analyse complex project management problems and identify appropriate solutions to these in the organisational context
- Critically evaluate issues in contemporary project management and communicate about these effectively to a diverse range of stakeholders
- Communicate effectively as a professional and function as an effective leader or member of a diverse team.

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Our program …

- Teaching Staff
  - Dr Bill Young – Lecturer and Convener (S1)
- Learning and Teaching Structure
  - Workshops and On-line synchronous and asynchronous sessions. Refer to Unit Outline for details for weekly schedule
  - Up on Canvas
- Assessment
  - Submit on time
  - Plagiarism - zero tolerance

Week	Week commencing	Topic to be covered	Assessment In-class
10	2/3	Introduction to Strategic Project Management	
11	9/3	Strategic Analysis and Prioritisation	
12	16/3	Agile Project Management	
13	23/3	Creating Project Value	**In-class Quiz 1**
14	30/3	Integration Management	
15	6/4	**Semester Break (No class from Thur - Wed.)**	
16	13/4	Project Scope Management	**In-class Quiz 2**
17	20/4	Project Time Management	
18	27/4	Project Cost Management	**In-class Quiz 3**
19	4/5	Project Risk Management	
20	11/5	Project Quality Management	**In-class Quiz 4**
21	18/5	Project Stakeholder, HR & Communication Mng.	
22	25/5	Project Procurement Management	**In-class Quiz 5**

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Assessment Overview

Tasks and Details	Weighting	Unit Learning Outcomes	Assessment Due Date
Assignment 1 Evaluation of a real-world Project (Individual)	25%	1, 2, 3	Due: 25 March 2026 @ 11.59pm
Assignment 2: incl. a) and b)		1, 2, 3	
a) In-Class Quizzes (Individual)	2% x 5 =10%		Quiz 1 Due: Week 13 Quiz 2 Due: Week 15 Quiz 3 Due: Week 17 Quiz 4 Due: Week 19 Quiz 5 Due: Week 22
b) Project Implementation Plan (Group)	35%	1 to 5	Due: 1 May 2026 @ 11.59pm
Assignment 3 Research (Individual)	30%		Due: 31 May 2026 @ 11.59pm

How far do you want to go in this Unit?

- You can choose to learn as much as you can
- You can choose to get as many marks as possible
- You can do both
- Or you may just want a paper for promotion, PR and so on … think about your motivation!

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Learning Academic Skills

- **Study Smarter Workshops**
- **Assessment focussed special workshops**
- **One to one or small group academic skills advice for students**

Make a booking via this link <swi.nu/las-booking> or visit the LAS Drop In desk on Level 3 of the Library to get help with a quick question about assignments.

Characteristics of projects

and Project Management …

What are the attributes of a project?

- Has a unique purpose
- Involves inter-related activities
- Temporary
- Involves uncertainty
- Developed using progressive elaboration
- Have a customer or sponsor
- Requires resources from various areas

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Introduction to Project Management

- "Organisations must change faster and more radically than ever"
  Harvard Business Review
- Project management enables and delivers organisational change
- Computer hardware, software, networks, and the use of interdisciplinary and global work teams have radically changed the work environment
- The world as a whole spends nearly $10 trillion of its $40.7 trillion gross product on projects of all kinds
- More than 16 million people regard project management as their profession

Project Management

Project management – "the application of knowledge, skills, tools and techniques to project activities to meet project requirements." **PMBOK® Guide**

- Work processes that
  - initiate
  - plan
  - execute
  - close
- Tradeoffs among
  - Scope
  - Quality
  - Cost
  - Schedule
  - Resources
  - Risks

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Project Management …

- Administrative tasks

planning documenting controlling

- Leadership tasks for work associates

visioning motivating promoting

- Knowledge, skills, and methods apply for most projects

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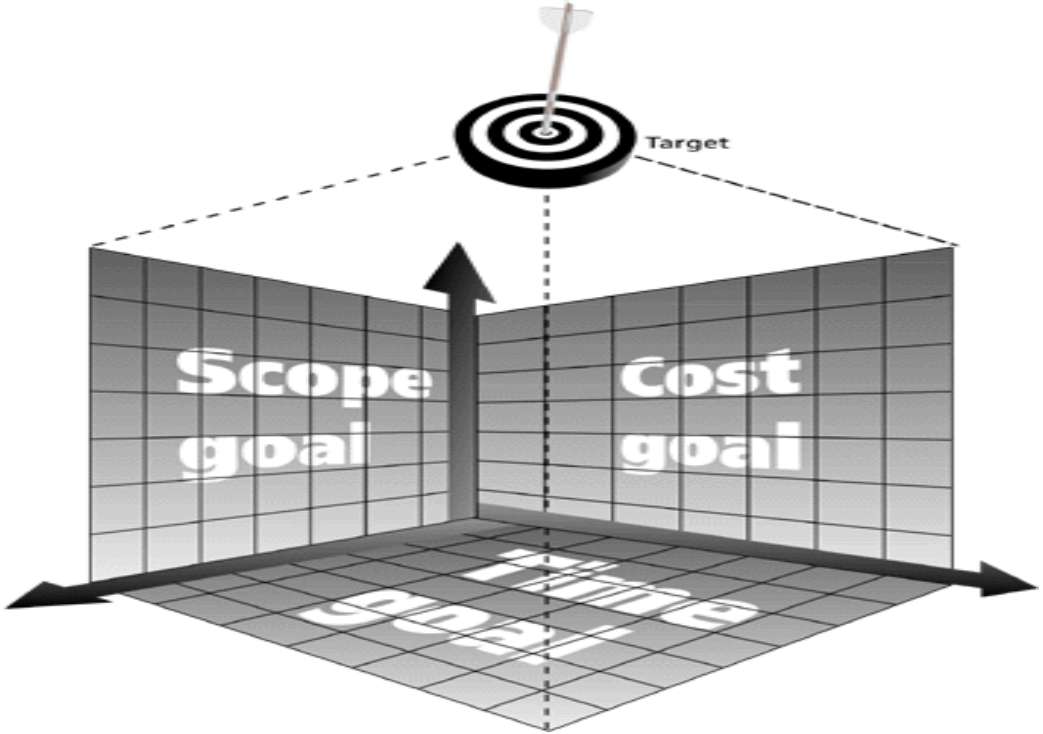
Triple constraint of Project Management

Successful project management means meeting all three goals (scope, time, and cost) – and satisfying the project's sponsor!

There's debate on the 'iron triangle' – is it sufficient?



Information Technology Project Management, Sixth Edition

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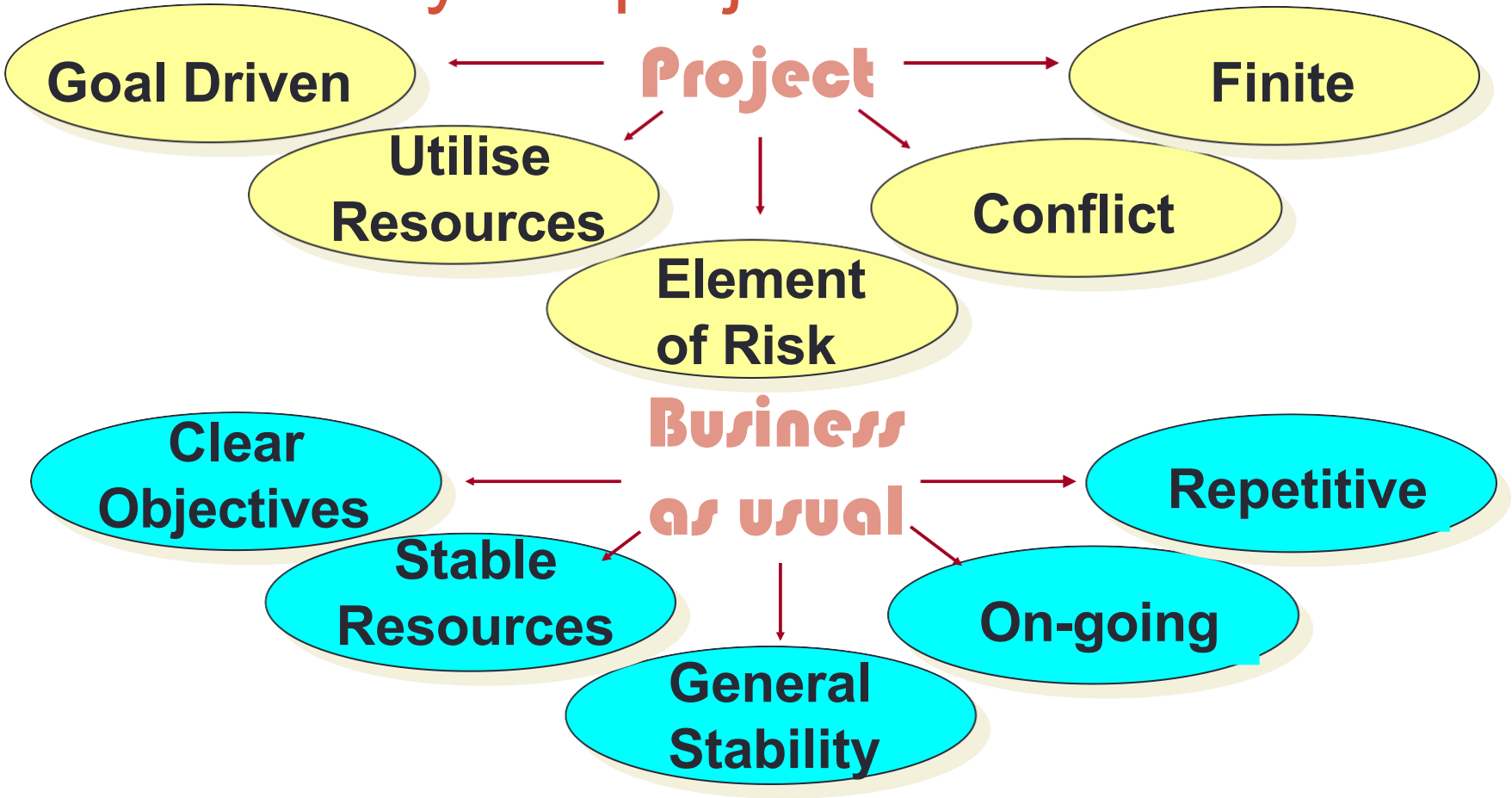
Why are projects different?

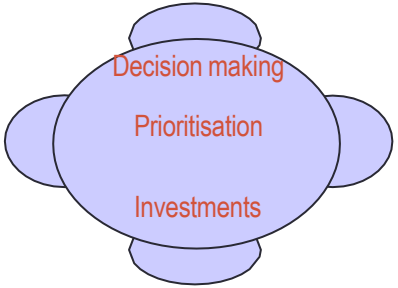


Portfolio v's Project Management

Doing the "Right" Projects

Portfolio Management which is…
Management of a collection of business initiatives aligned with an organisation's ***strategy*** and consolidated in a ***single view*** for overall ***value*** and ***risk*** optimisation

Management of decision making



Doing the Projects "Right"

Project Management which is…
A temporary endeavour undertaken to accomplish a unique purpose

Management of work and design

Project and Program Managers

- **Project Managers** work with project sponsors, project team, and other people involved in a project to meet project goals
- **Program Managers**: group of related projects managed in a coordinated way to obtain benefits and control not available from managing them individually

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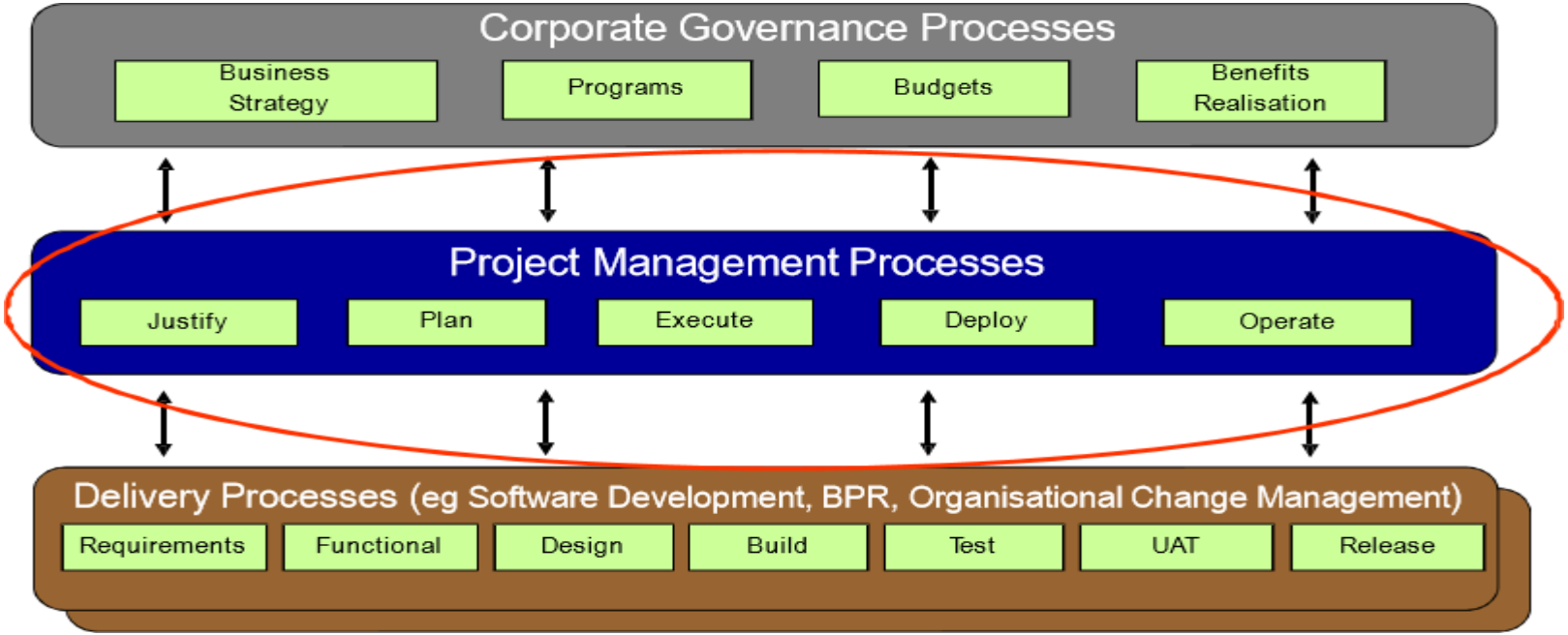
Effective Project Management requires integration with Corporate Processes and Delivery Processes



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Other key factors of projects

Quality

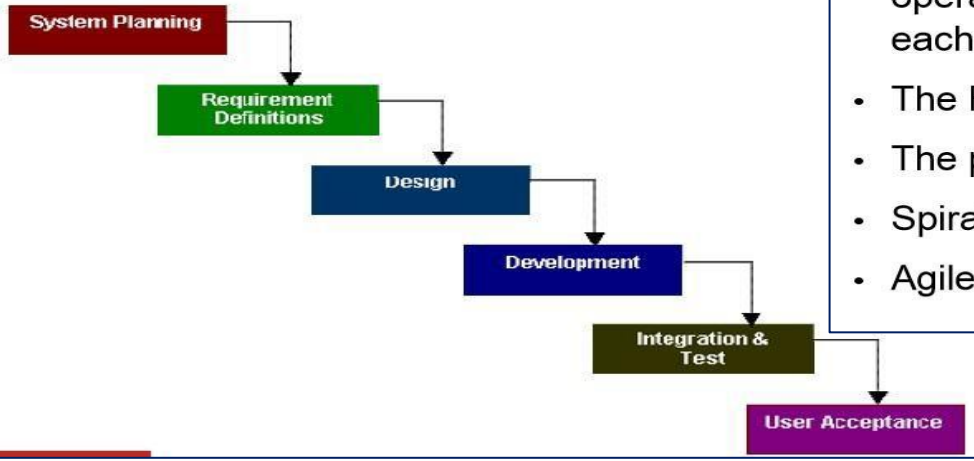
- The products of the project should be of good quality
- There are many quality models to measure the quality of products and services

Customer or sponsor satisfaction

- The services or the product produced by the project should satisfy the stakeholders needs and expectations

Different models/methodologies

Waterfall Model – the original SDLC used to guide project management of information system development projects.



- Incremental release: progressive development of operational software adding additional capability with each release.
- The RAD model
- The prototyping model
- Spiral Model
- Agile

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Project Management Tools & Techniques

- **Project management tools and techniques** assist project managers and their teams in various aspects of project management
- Some specific ones include:
  - Project charter, scope statement, and WBS (scope)
  - Gantt charts, network diagrams, critical path analysis, critical chain scheduling (time)
  - Cost estimates and earned value management (cost)

PM profession

Where did it come from, where is it at, and where is it going

History of Project Management

- Some people argue that building the Egyptian pyramids was a project, as was building the Great Wall of China
- Most people consider the ***Manhattan Project*** to be the first project to use "modern" project management (in the 1940s, The Manhattan Project was a research and development project that produced the first nuclear weapons during World War II. It was led by the United States with the support of the United Kingdom and Canada)
- This three-year, $2 billion (in 1940s dollars) project had a separate project manager and a technical manager
- In the 21st century an increasing number of IT projects have matured to include different philosophies and methodologies such as Agile

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History of PM

- Emerged as a formal discipline in the 1950s
- Developed for aerospace and construction
- Involved determining project schedules
- Manufacturing, R&D, government, and construction refined techniques

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History of PM

- Software (1980s and 1990s) for planning and controlling
- Risk management techniques
  - applied to less complex projects
- Communication and leadership role emerged
- Information technology and telecommunications fueled use (1990s and 2000s)

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Some developments

- Since the 1980s interest spread beyond traditional Engineering and IT project management
- Trend toward Management by Projects in the 1990s
- Application of Enterprise Project Management in the 2000s
- Maturing towards professional status

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State of the profession …cont.

- Global awakening in focus on PM
- Continues to grow and expand into all types of industries: engineering, IT, law, medicine, education, finance, government, business, etc.
- PM becoming a core strategic competency sought after by innovative organisations
- Professional PM Associations world wide have witnessed significant membership growth over the past few years. Similar growth has applied to PM certification

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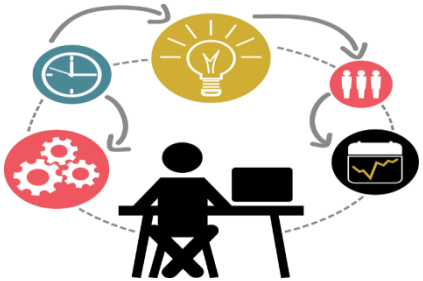
University staffing advert

"People & Culture Business Partner"

Skills, Qualifications and Experience
To be successful in this role you will need postgraduate qualification in human resources, industrial relations or related field or progress towards postgraduate qualifications and extensive relevant experience. **Qualifications in project management is also essential.** You must be able to demonstrate ….

Project Management is …

- One of the fastest growing professions
- Good project management principles apply across every discipline
- Practised in a broad range of industries and professions
- Shift in the job market
- PM is a practice profession; the more one practices the better one becomes



Important skills & competencies for PMs

1. People skills
2. Leadership
3. Listening
4. Integrity, ethical behavior, consistent
5. Strong at building trust
6. Verbal communication
7. Strong at building teams
8. Conflict resolution and management capable
9. Critical thinking, problem solving
10. Understands, balances priorities

Different skills needed in different situations

- Large projects: leadership, relevant prior experience, planning, people skills, verbal communication, and team-building skills were most important
- High uncertainty projects: risk management, expectation management, leadership, people skills, and planning skills were most important
- Very novel projects: leadership, people skills, having vision and goals, self confidence, expectations management, and listening skills were most important

Global issues

Several global dynamics are forcing organizations to rethink their practices:

- Talent development for project managers is a top concern
- Good project portfolio management is crucial in tight economic conditions
- Basic project management techniques are core competencies
- Organizations want to use more agile approaches to project management
- Benefits realization of projects is a key metric

Importance of leadership skills

- Effective project managers provide leadership by example
- A **leader** focuses on long-term goals and big-picture objectives while inspiring people to reach those goals
- A **manager** deals with the day-to-day details of meeting specific goals
- Project managers need to take on the roles of both leader and manager

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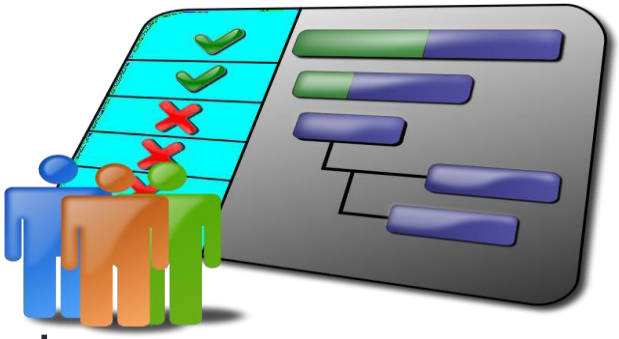
Sustainable Development Goals

Source: https://sustainabledevelopment.un.org/

Success and Failure



The double edged sword …

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Illusive success!

The management of many projects at state, national and international level, in both the private and public sectors, has been the subject of considerable research and debate over recent years. The consensus has been that these projects are often poorly managed and result in failure.

The Ombudsman and the Auditor-General tabled a number of reports in Parliament relating to ICT-enabled projects. These reports identified significant shortcomings in the public sectors management of such projects and included numerous recommendations. Despite this, there had been little sign of lessons learnt and ICT projects, such as myki, HealthSMART and LEAP, have regularly appeared in the newspapers for the wrong reasons.

Victorian Ombudsmen's Report 2011.

Some failure examples

- Baxendale, R. (2021, Apr 19). Victorian auditor general report scores state's delivery of key transport projects 'a fail'. *The Australian (Online)* Retrieved from https://www.proquest.com/newspapers/victorian-auditor-general-report-scores-states/docview/2514986976/se-2?accountid=14205

- Oracle splashes $40bn in e-health gamble. (2021, Dec 22). *The Australian* Retrieved from https://www.proquest.com/newspapers/oracle-splashes-40bn-e-health-gamble/docview/2612188430/se-2?accountid=14205

- Barrett, R. (2012, Dec 14). $5m inquiry into health payroll mess. *The Australian* Retrieved from https://www.proquest.com/newspapers/5m-inquiry-into-health-payroll-mess/docview/1237555734/se-2?accountid=14205
  Over the past three years there have been five auditor-general reports, two KPMG reviews and a report from both Ernst & Young and PriceWaterhouse Coopers into the multi-million-dollar system, dubbed the worst public administration failure since the procurement of the Collins-class submarines.

or

- Pennington, S. (2014, Feb 25). Queensland in the slow lane on fixing 'clunker' IT systems: IT PRO. *The Age* Retrieved from https://www.proquest.com/newspapers/queensland-slow-lane-on-fixing-clunker-systems/docview/1501383402/se-2?accountid=14205
  While plans to offload its commercial technology services arm CITEC are on track, the Queensland government has yet to produce a replacement schedule for major ICT systems it condemned as...

- Shenzhen rail study to arrive next year: Transport minister says officials from both sides of border will then look at possible routes, stops, cost of building the system and responsibilities. (2021, Oct 15). *South China Morning Post* Retrieved from https://www.proquest.com/newspapers/shenzhen-rail-study-arrive-next-year/docview/2581881832/se-2?accountid=14205

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What do the following have in common?

- Sydney Opera House

- Myki

- Domain tunnel

Winners and losers of the Big Build blitz

Blowouts but jobs for many

Matthew Johnston

Big, bold, and with a ballooning budget.

Labor's decade-long infrastructure blitz has left an indelible mark across Victoria – from its signature policy that has removed 84 level crossings, to building 47 major roads.

With an infrastructure program worth $100bn on the books, public-sector projects will continue to shape the next decade, but experts say a major financial correction is needed in the state to allow the Big Build to be the new normal, rather than an "aberration".

The pace of construction was frenetic from the moment Daniel Andrews took the reins as premier, tying the public-sector industry to economic growth and showing voters his decision to tear up the contract for the East West Link – a road tunnel under the CBD locked in by the outgoing Napthine government – wasn't his defining infrastructure moment.

Traffic chaos and disruption became a hallmark of Labor in power, and it became a challenge to convince Melburnians the end result was worth the pain. Infrastructure Partnerships Australia chief executive Adrian Dwyer said in 2014 the new government "started on shaky ground" because the East West Link cancellation soured confidence.

"They were astute enough to quickly move to things like Melbourne Metro, and later the West Gate Tunnel, as well as high-velocity programs like the level crossing removals," he said. "If the metric is that they changed the fabric of the city then that's a tick.

"Did they pay a lot of money for this? Yes."

Mr Dwyer said higher costs were partly a trade-off for the speed in which things were built, causing challenges for the following decade. "How do you repair fiscal settings so that this infrastructure boom isn't an aberration, and is able to continue?" he said.

Pollster and former ALP assistant secretary Kosmos Samaras said infrastructure investments had transformed the city, but there was a growing divide between winners and losers.

"There are parts of Melbourne which have become, over a period of 10 years, wealthier and a lot easier to live in, well serviced by a big infrastructure spend," he said.

"Over the same period, there have been areas of Melbourne that have become poorer and a lot more difficult to live in.

"The life expectancy in Melton is 13 years lower than those living in Bayside."

Opposition transport infrastructure spokesman David Southwick accused Labor of putting "all our eggs into one basket" while some suburbs were neglected.

"Residents of Melton are stuck on overcrowded, unreliable diesel trains and families in Donnybrook don't even have a footpath to the local train station and roads across Victoria are crumbling," Mr Southwick said.

"For a decade, Labor has picked winners and losers on basic transport infrastructure, as major projects have blown out by more than $40bn and counting."

Since it took office in 2014, Labor has attracted headlines for its mega projects.

Next year, the $15.6bn Metro Tunnel is scheduled to open, reshaping the city's rail network.

While it has blown its budget by up to $4.7bn, it's been running on time.

Evan Tattersall, who was chief executive of Rail Projects Victoria from 2014 to 2022, said it was a game-changer because it would create more rail capacity through the heart of the system that allowed for further line upgrades, but that a lot of work went into explaining to Victorians that "the outcome is going to be worth the disruption".

"People may not like the disruption, but if they understand why you are doing it, and the benefits that come with these massive projects then they are more accepting," he said.

More difficult to explain have been delays and blowouts on the $10.2bn West Gate Tunnel, which has left motorists seething in congestion for three years longer than planned.

Labor insiders maintained in the first two terms that all news was good news for its infrastructure agenda, even when blowouts emerged, because of the jobs created.

"They weren't just jobs, they were high-paying jobs," one insider said.

At last count, 16,000 people were employed on public-sector infrastructure projects in Victoria.

Smaller-scale builds – such as 75 new schools that have opened in the past decade – kept the infrastructure pipeline full to bursting.

With an annual public-sector spend peaking at $24bn, Treasurer Tim Pallas has had to tap the brakes, including by parking the Melbourne Airport Rail Link for four years.

The two most expensive projects in Melbourne's history are set to hit major milestones in the next decade, with the $26bn North East Link scheduled to open in four years.

Meanwhile, the $34.5bn Suburban Rail Loop East, a 26km tunnel to connect Cheltenham in the city's southeast to Box Hill in the east, continues to divide Labor and Victorians.

Transport Infrastructure Minister Danny Pearson said the SRL would change "the way Victorians move around the state forever", while delivering other critical infrastructure benefits.

"The Suburban Rail Loop is Australia's largest housing project and we're getting on with it – helping deliver 70,000 more homes exactly where they're needed, right next door to jobs, services and public transport," he said.

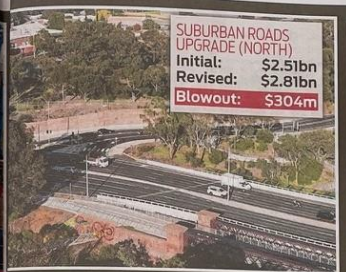
In two years, at the next state election, voters will show whether they are all aboard Labor's road and rail plans, or are pulling the cord for an emergency exit.

matthew.johnston@news.com.au

MELBOURNE METRO
Initial completion date: 2026
Current completion date: 2025
Initial: $10.9bn
Revised: $15.6bn
Blowout: $4.7bn

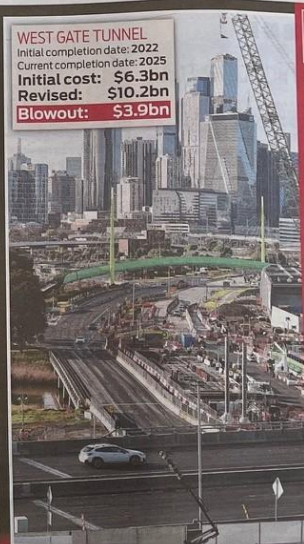
NORTH EAST LINK
Initial completion date: 2028
Current completion date: 2028
Initial: $15.8bn
Revised: $26.1bn
Blowout: $10.3bn

MORDIALLOC FREEWAY
Initial: $375m
Revised: $523m
Blowout: $148m



SUBURBAN ROADS UPGRADE (NORTH)
Initial: $2.51bn
Revised: $2.81bn
Blowout: $304m

MURRAY BASIN RAIL PROJECT
Initial completion: 2018
Current completion: TBC
Initial: $440m
Revised: $807m
Blowout: $367m



WEST GATE TUNNEL
Initial completion date: 2022
Current completion date: 2025
Initial cost: $6.3bn
Revised: $10.2bn
Blowout: $3.9bn

BY THE NUMBERS

47 major road projects completed

55 hours of peak hour boom gate closures scrapped each day

75 new schools opened

84 level crossings removed, and 50 stations upgraded or built

180 major projects being built, and 146 completed

324km of new or upgraded regional rail tracks

2000 new rail services

16,000 people employed

$100bn worth of public sector projects ongoing

10 YEARS OF LABOR

The Herald Sun talks to the experts, as former premiers Jeff Kennett and Steve Bracks give their verdicts

TOMORROW EVENTS AND ENTERTAINMENT

THURSDAY HEALTH

FRIDAY EDUCATION

SATURDAY LAW AND ORDER

SUNDAY OVERALL STATE OF THE STATE

Transport to a new level

Steve Bracks

The government has built new rail lines, stations and roads and removed level crossings, reducing congestion and cutting travel times for millions of Victorians.

It has removed 84 level crossings and built and upgraded 50 stations, changing the way people move across Victoria forever.

Labor promised it would remove 50 dangerous and congested level crossings, removing 110 by 2030.

In 2025, it will open the West Gate Tunnel, taking 9000 trucks off local roads, slashing travel times and providing a vital alternative to the West Gate Bridge.

In 2018, the Liberal Party teamed up with the Greens to try to stop the project. The former Coalition government cancelled the Metro Tunnel.

Next year it will be delivered a year ahead of schedule, transforming public transport.

The SRL is Australia's biggest housing project. It will help deliver 70,000 more homes exactly where needed.

Steve Bracks is a former Labor premier of Victoria

The stupidity is built in

Jeff Kennett

It is important for governments to have continuous programs of maintaining public building and infrastructure. If not, it w be more costly to replace them.

Some projects such as th rail crossing removal progra started by the previous government, have allowed efficient movement.

But big projects are behi time and over budget. They will eventually make trave less congested, but the co blowout has long-term implications for the public

The SRL is an example sheer stupidity. It will neve finished and is another de bomb for the state.

You do not build to go b in the process.

Jeff Kennett is a former L premier of Victoria

Why do projects fail?

Fail to achieve agreed deliverables:

- Scope (quality)
- Customers use of outputs
- Time
- Cost
- Safety breached

Plus other critical success factors!

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Motivation for studying Strategic Project Management

- Many Projects have a terrible track record !!!
- Repeated Standish Group studies (CHAOS) over the past few decades have displayed shocking figures in terms of IT and other projects not being successful in meeting scope, time, and cost goals; many projects even being canceled before completion
- A PricewaterhouseCoopers study found that overall half of all projects fail and only 2.5% of corporations consistently meet their targets for scope, time, and cost goals for all types of project

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Projects are not easy … many challenges

- Lack of Executive support
- Lack of user involvement
- Inexperienced Project Managers
- Unclear Business objectives
- Stakeholders disagree on expectations
- Project too large / complex
- Lack of supportive infrastructure
- Incomplete requirements and specifications
- No formal methodology
- Changes in the scope
- Unrealistic estimates, Plus, plus, …

Defining project success

There are many ways to define project success:

- The project met scope, time, and cost goals
- The project satisfied the customer/sponsors requirements
- The results of the project met its main objective, such as making or saving a certain amount of money, providing a good return on investment, etc

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eg: myki card system

- How would you define project success?
- What are the key influences in achieving project success?
- What level of influence is exercised by the project manager in achieving project success?
- What is it about a project manager that has the greatest impact on project success?

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Steps towards building success …

- Have clear business objectives for the project and tightly define scope around objectives
- Build a complete and integrated project team
- Front End Load the project completely before sanction
- Apply realistic as opposed to optimistic thinking
- Use the right Value Improving Practices (VIPs)
- Contracts based on value, not apparent price
- Measure project success using metrics
- Control the project in the field

Summary

- What constitutes a project & PM
- Brief history & where PM is at today
- Why projects succeed and fail!

Next week …

- Project selection and prioritisation